

FIG pitch deck

Both benches converged, so this deck writes itself in one direction: no entry, with clearly specified conditions to reopen. Here is the full deck.

PITCH — FIG — PROPOSED VERDICT: NO ENTRY (and no short) — stay flat into the ~Nov 4, 2026 earnings report; reopen only on the triggers below — PROPOSED — PENDING ADJUDICATION

What we believe

Figma is a genuinely good business that we should not buy today, because the forward-looking demand numbers in its own latest filing just broke, and a huge block of newly sellable insider stock is still working its way through the market.

The good-business part is not in dispute: roughly 84% gross margin, \$53.2M of free cash flow in the June quarter, \$1.667B of cash and securities against zero debt, and revenue guided to grow 36–39% this fiscal year ([10-Q, filed 2026-08-05](#)).

The problem is what the same filing says about *future* demand. The metrics that look backward (net dollar retention of 136%, deferred revenue up 44.7% year over year) still look healthy. But every metric that looks forward broke in the June quarter, all at once:

- **Deferred revenue** (cash collected for services not yet delivered — a forward-demand gauge) *fell* by \$0.9M during the quarter, while revenue grew 11% sequentially. The same quarter a year earlier it *grew* by \$26.5M.
- **Remaining performance obligations** (total contracted future revenue) grew only 0.7% sequentially against that 11% revenue growth.
- New bookings ran slightly below revenue recognized (book-to-bill just under 1) — the company delivered more than it signed.
- Management's own guidance encodes the slowdown: the third-quarter midpoint implies roughly +1% sequential growth, and the full-year guide implies second-half growth of about +32% versus +47% in the first half.

On top of that, a final block of **77.7 million shares** came out of lock-up around August 7 — about five full days of the stock's entire trading volume — and insider sale notices (Form 144s) kept arriving through August 10. Some of that supply may already be absorbed, but we can't verify it yet.

Our conclusion: this is a company one bad leading-indicator quarter into a possible demand slowdown, at a valuation (8.1x–9.5x this year's guided sales) that is fair-to-full for the trajectory actually printed.

The right position is none.

What the market believes

The market appears to have already read the same filing the same way. The stock fell **14.9%** on the earnings day itself (Aug 5 close \$28.15 → Aug 6 close \$23.97, on 53M shares), then closed down *again* on the actual unlock day, and sat at **\$25.42** on August 14 — down 68.5% from its 52-week high of \$80.75, but still 53% above its low of \$16.60. Short interest stands at about 66 million shares.

In other words: the market is treating the earnings report as a demand disappointment, not merely a supply event. This is a heavily covered, high-profile recent IPO — there is no neglected corner here where the crowd might simply not have looked.

Why we might have edge

Honestly: on the original long thesis, we found we don't. The thesis argued the market was confusing lock-up selling pressure with real demand damage, and that demand was fine. Our own checks refuted both halves — demand indicators broke *and* the selling pressure isn't finished.

Where edge could still exist, and what this deck actually preserves:

1. **We now know exactly which two numbers resolve the question.** If the Q3 report ($\approx$ Nov 4) shows deferred revenue building again by more than +\$40M in the quarter, or contracted backlog growing more than +8% sequentially with net dollar retention holding at 134% or better, the June quarter was a blip and the long case reopens — likely before the crowd re-underwrites it.
2. **The supply overhang may clear faster than assumed.** About 175M shares traded between Aug 6 and Aug 14 against the 77.7M unlocked block, with 66M shorted shares as a standing pool of buyers who must eventually cover. If the next published short-interest figures show covering completed and the price holds for three weeks on normal volume, the flow objection dies.
3. **We did the share-count work most won't.** The honest valuation range is 8.1x (basic) to $\sim$ 9.5x (diluted) guided sales — not the thesis's 8.0x and not our own red bench's initial 9.8x. Having the correct number means we'll recognize genuine cheapness ($\sim$ \$16.90, see entry bands) if the market overshoots.

Why it might be priced in

Because the simplest reading is that it already is. The 14.9% single-day drop landed **on the earnings release**, a day before the unlock — the market punished the demand numbers, not the share supply. The forward-looking metrics and the tape point the same direction; there is no gap between the story and the numbers for us to arbitrage. And at \$25.42 the stock is not cheap enough to pay us for the unresolved questions: 8.1x–9.5x guided sales is a full price for growth that management itself guides to decelerate from 47% to 32%. The one claim that could rescue the long — “the price already assumes catastrophe” — was asserted by the thesis and never computed by anyone, including our own skeptics.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Demand is intact — retention 136%, deferred revenue +44.7% YoY”	Pulled the audited quarterly series from SEC XBRL (deferred revenue) and contracted backlog	The yearly growth is carried by a one-time surge in late 2025. In the June 2026 quarter itself: deferred revenue – \$0.9M, backlog +0.7%, bookings below revenue, first-half billings +39% vs revenue +47%	REFUTED — thesis wrong
“The flat quarter might just be seasonal” — our red bench claimed the year-ago comparison didn’t exist	Blue bench found the March 31, 2025 balance (~\$406.6M) disclosed in the Q2-2025 10-Q	Q2-2025 built +\$26.5M; Q2-2026 built –\$0.9M. Not seasonal — a real break. Bench error: red argued around a data gap that wasn’t one	CONFIRMED break
“The unlock is behind us — stock rose ~6% after the cliff”	Day-by-day price/volume from the daily tape plus the lock-up terms in the 8-K of 2025-09-03	The “+6%” was measured from the post-earnings low. Earnings day –14.9%; unlock day also closed down; 77.7M newly sellable shares ≈ 5 days of volume; sale notices still arriving	REFUTED — thesis measurement error
“Valuation ~8.0x sales on 527.5M shares”	10-Q cover page and equity note	Basic count is 533.0M → 8.1x guided sales. Bench error: red first claimed 9.8x by counting all 99.5M excluded securities — but 14.5M of the CEO’s award shares only vest at stock prices of \$60–\$130 and can’t be counted at \$25.42. Corrected range: 8.1x basic / ~9.5x diluted	PARTIAL — thesis low, red high; 8.1–9.5x stands
“The big Q2 guidance beat proves guidance is sandbagged”	Guide-to-guide arithmetic from the company’s own Q1 and Q2 press releases	One beat is a sample of one. Q3 guide implies ~+1% sequential; second half guided +32% vs first half +47% — the slowdown is in management’s own numbers	REFUTED as proof
“The price already embeds terminal demand destruction”	Nobody — neither the thesis nor either bench computed it	Asserted, never calculated, on both sides; carries no weight	UNVERIFIED
Balance-sheet safety (reason there’s no short case either)	10-Q direct	\$1.667B cash and securities, zero debt, +\$53.2M quarterly free cash flow	CONFIRMED
Current price \$25.42	Evidence pack vs. Aug-14 close on a second venue; live broker quote was denied to both benches	Consistent across two sources but not live-verified — must re-pull before any order	PARTIAL
“The 77.7M-share block may already be largely absorbed”	~175M shares traded Aug 6–14 vs the block, plus 66M short interest as a covering bid	Plausible softener; testable only at the next published short-interest figures	UNVERIFIED

One further process error for the record: red’s list of consulted detectors drifted from the pack’s actual atlas (it listed three that weren’t in this pack and omitted three that were). Blue corrected the list; no

finding changed as a result.

PROPOSED ENTRY BANDS

The courts say no entry at \$25.42, in any size, and no short at any price (the short case fails on 84% gross margin, positive free cash flow, \$1.7B net cash, and 36%+ guided growth). Sizing today: **0% of book**. These are the reopen bands, taken from the benches' own math:

- **Reopen A — fundamentals (primary), at the Q3 report ≈ 2026-11-04:** deferred revenue builds by **more than +\$40M** in the quarter, **or** contracted backlog grows **more than +8% sequentially** with net dollar retention **at or above 134%**. Either one → re-run the long court *at whatever price then prints* — no price precondition, because this evidence would mean the June quarter was a blip.
- **Reopen B — supply (secondary):** published short-interest data show the covering has completed, and the price holds stable for **≥3 weeks on sub-15M daily volume**. This removes only the flow objection; the demand objection still requires Reopen A.
- **Reopen C — price (without waiting for the print): below ~\$16.90**, the company's basic enterprise value falls to ~5x this year's guided revenue (533.0M shares × price, minus \$1.667B cash, against the \$1.465B guide) — cheap enough that the court should re-convene even with the demand question unresolved. Note this is just above the 52-week low of \$16.60.
- **Exits/trim:** none — there is no position.
- **Catalyst dates:** Q3 FY2026 earnings ≈ **2026-11-04** (derived from data-vendor cadence; the company has not yet named the date — treat as unconfirmed). Watch window for a possible follow-on/resale share registration: within roughly 90–180 days of the August 7 unlock.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 16.9 (deck-provisional: basic EV ≈ 5x FY26 guided revenue (533.0M shares, \$1.667B cash vs \$1.465B guide) — cheap enough to re)
- filing watch: 10-Q, 8-K until 2027-02-12 (deck-provisional: Q3 report: deferred-revenue build > +\$40M QoQ, or backlog (RPO) > +8% QoQ with net dollar retention >=)
- dated pack FIG|2026-11-04: FIG: Q3 FY2026 earnings report — vendor-derived date, no company PR names it yet (date confirmed=False)

What remains unverified

- **Whether the 77.7M-share block is absorbed.** ~175M shares traded after the print, and 66M shorted shares must eventually be bought back — but “eligible to sell” versus “actually sold” resolves only at the next short-interest publication.
- **The Q3 earnings date** (2026-11-04 is vendor-derived; no company announcement yet).

- **The live price.** Broker quote denied both benches; nothing may be acted on against the \$25.42 record price.
- **Short-term versus long-term backlog mix.** The 10-Q says only that a “substantial majority” of contracted backlog converts within 12 months; neither bench could isolate the exact short-term figure, which would sharpen the stall reading either way.
- **Backlog seasonality.** The year-ago sequential comparison for backlog doesn’t exist (first disclosed mid-2025) — unlike deferred revenue, where the seasonal excuse was tested and failed.
- **AI/inference costs.** Gross margin slid 88.8% → 83.7% and management declined to bound the AI-compute component; the incremental gross margin of ~73% is a trend, not a floor.
- **Leadership churn.** The departures of the chief product and marketing officers and the CTO’s reassignment were taken from the thesis’s sources; neither bench independently checked them.
- **Whether \$25.42 is “cheap.”** No one — thesis, red, or blue — computed what growth path the current price actually implies. The rejection does not rest on this, but the gap is real and cuts both ways.

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